

SECURITIES AND EXCHANGE BOARD OF INDIA CIRCULAR

Ref. No.: SEBI/HO/MIRSD/DOP/CIR/P/2026/077

Date: February 18, 2026

To

All Stock Brokers
All Recognised Stock Exchanges
(through their Compliance Officers)

Dear Sir/Madam,

Subject: Amendment to Master Circular for Stock Brokers — Reporting, Cyber Security and Monthly Compliance Obligations

1. This circular amends the Master Circular for Stock Brokers issued vide SEBI/HO/MIRSD/DOP/CIR/P/2025/112 dated March 14, 2025 ("the Master Circular"), in exercise of powers conferred under Section 11(1) of the Securities and Exchange Board of India Act, 1992, read with the provisions of the Securities Contracts (Regulation) Act, 1956. This circular follows a review of reporting timelines and cyber resilience requirements applicable to stock brokers.

2. Applicability

2.1 This circular is applicable to all stock brokers registered with SEBI under the SEBI (Stock Brokers) Regulations, 1992, and to recognised stock exchanges for the purpose of monitoring compliance by their trading members. The applicability provisions of the Master Circular remain unchanged.

3. Amendment to Monthly Compliance Reporting Timeline

3.1 Clause 3.2 of the Master Circular is hereby substituted as follows: "The monthly compliance report referred to in clause 3.1 shall be submitted within one (1) working day from the end of the relevant month ('T+1 working day')."

3.2 All other requirements of clause 3.1 and clause 3.3 of the Master Circular (particulars to be reported, and the five-year record retention requirement) remain unchanged and continue to apply.

4. Withdrawal of Quarterly Declaration Requirement

4.1 Clause 4.1 and Clause 4.2 of the Master Circular, pertaining to the quarterly declaration of no material change in shareholding pattern, key managerial personnel, or net worth position, are hereby withdrawn with effect from the date of this circular.

4.2 Stock brokers shall continue to report any material change in shareholding pattern, key managerial personnel, or net worth position as and when such change occurs, in accordance with the SEBI (Stock Brokers) Regulations, 1992, notwithstanding the withdrawal of the quarterly declaration requirement under sub-clause 4.1 above.

5. Amendment to Cyber Security and Cyber Resilience Requirements

5.1 Clause 5.1 of the Master Circular is hereby substituted as follows: “Every stock broker, irrespective of classification as a Qualified Stock Broker, shall conduct a cyber audit of its trading systems on a monthly basis and submit the audit report to the relevant stock exchange.”

5.2 Clause 5.2 of the Master Circular is hereby substituted as follows: “The monthly cyber audit report referred to in clause 5.1 shall be submitted within seven (7) calendar days from the end of the relevant month.”

5.3 Stock brokers previously classified as Qualified Stock Brokers that have already conducted an annual cyber audit for the current financial year under the erstwhile clause 5.1 shall not be required to conduct a duplicate audit for the month in which this circular takes effect, but shall commence monthly audits from the following month onward.

6. Risk Disclosure Documentation

6.1 Clause 6.1 of the Master Circular, concerning periodic re-execution of the Risk Disclosure Document, remains unchanged and continues to apply.

7. This circular shall come into force with immediate effect. Except as expressly amended or withdrawn herein, all other provisions of the Master Circular dated March 14, 2025 shall continue to remain in force.

8. This circular is issued in exercise of powers conferred under Section 11(1) of the SEBI Act, 1992, to protect the interests of investors in securities and to promote the development of, and to regulate, the securities market.

Yours faithfully,

General Manager
Market Intermediaries Regulation and Supervision Department
Securities and Exchange Board of India